

# Advanced Coverage Logic, Claims & Cost Optimization: Bajaj Allianz Health Insurance

This research document details the sophisticated indemnity and benefit structures used by Bajaj Allianz General Insurance to manage medical risks and optimize costs for policyholders.

## 1. Advanced Coverage Logic & Reinstatement Mechanisms

Bajaj Allianz utilizes "Smart Restoration" and "Unlimited Recharge" logic to ensure policyholders are never stranded without cover during a single policy year.

### A. The Restore/Reinstatement Logic

- **Trigger Mechanism:** Restoration is typically triggered when the base sum insured is exhausted due to a claim.
- **Same Illness vs. Different Illness:** In older plans, restoration was only for *different* illnesses. Modern plans like "My Health Care" offer **Unlimited Reinstatement for the Same Illness**, provided there is a 15-day gap between hospitalizations.
- **Partial Restoration:** Some advanced variants offer "Partial Restoration," where the SI is reloaded even before it is completely depleted, ensuring a safety buffer is always maintained.

### B. Benefit-Based Riders (The Fixed-Income Logic)

- **Hospital Cash:** A logic-based daily allowance (e.g., ₹1,000–₹5,000/day) triggered after 24 hours of hospitalization to cover non-medical expenses (conveyance, attendant food).
- **Waiver of Premium:** If the proposer is diagnosed with a specific critical illness or suffers accidental permanent disability, the system automatically waives all future premiums for the remaining policy term while keeping coverage active.

## 2. Claim Optimization & Cashless Algorithms

Bajaj Allianz has moved toward "60-Minute Approval" and "Claim-on-the-Go" features using digital logic.

### A. The Cashless Pipeline

1. **HAT (Health Administration Team) Verification:** When a pre-auth form is submitted via a network hospital (18,400+ hospitals), the internal HAT system verifies the ICD (International Classification of Diseases) code against policy exclusions.

2. **60-Minute Turnaround:** For standard procedures (e.g., appendectomy, cataract), the insurer aim for 1-hour digital approval.
3. **Proportionate Deduction Logic:** If a policyholder chooses a room with rent higher than their sub-limit (e.g., SI is ₹5 Lakhs, room limit is 1% or ₹5,000, but the user chooses a ₹10,000 room), the insurer applies a **Proportionate Deduction** to the entire bill (excluding medicines), not just the room rent.

## B. Claim-On-The-Go (AI-Driven)

For minor claims up to ₹20,000, policyholders can use the "Caringly Yours" app to upload photos of bills. An AI engine validates the documents and can process a payout within minutes, bypassing manual TPA (Third Party Administrator) intervention.

# 3. Cost Optimization & Wellness Incentives

Bajaj Allianz uses "Behavioral Insurance" logic to reward healthy policyholders and lower risk-pool costs.

## A. Wellness-Linked Discounts

- **Step Tracker Integration:** Through the "Health Companion" feature, users earn "Wellness Points" by meeting daily step goals. These points translate into a **renewal discount of up to 12.5%**.
- **Fitness Discount:** Marathon runners or members of recognized fitness clubs often get a 5% "Fitness Discount" at inception.

## B. Cumulative Bonus (NCB)

- **Standard NCB:** Increases SI by 10% for every claim-free year (up to 50%).
- **Super Cumulative Bonus:** Available in premium plans, this logic allows for a **50% increase per year**, reaching up to 100% or even 200% of the base sum insured in just a few years.

# 4. Specialized Coverage Extensions

- **Global Health Care:** Advanced logic that extends "Cashless Facility" to overseas hospitals for planned and emergency treatments, often with a much higher sum insured (up to ₹5 Crores).
- **AYUSH Coverage:** Covers non-allopathic treatments (Ayurveda, Yoga, Unani, Siddha, and Homeopathy) in government-recognized hospitals, aligning with holistic health trends.
- **Consumables Cover:** Modern plans include a rider that covers "Non-Medical Items" (gloves, masks, nebulizer kits) which are traditionally excluded from health claims.

## Summary of Advanced Features

| Feature | Logic Type | Strategic Benefit |
|---------|------------|-------------------|
|---------|------------|-------------------|

|                                |                       |                                                       |
|--------------------------------|-----------------------|-------------------------------------------------------|
| <b>Unlimited Reinstatement</b> | Recursive Coverage    | Protects against multiple family members falling ill. |
| <b>Wellness Points</b>         | Gamified Underwriting | Reduces long-term risk of lifestyle diseases.         |
| <b>Zonal Pricing</b>           | Geographic Logic      | Lowers premiums for residents of Tier 2/3 cities.     |
| <b>60-Min Cashless</b>         | High-Velocity Claims  | Enhances user experience at point-of-care.            |